

ADDING HOME PERFORMANCE CONTRACTING TO AN EXISTING HVAC BUSINESS



Terry Rogers upgrades a duct system, connects the venting, and seals the equipment connections.

RIK HOLMES

by **LARRY TAYLOR**

I've been in the HVAC contracting business since the 1960s, and every decade has been a learning experience. Those decades of learning led me to whole-house performance contracting—and the ability to give my customers the service they deserve. A whirlwind tour through those years might help explain why I have moved away from selling boxes and toward providing efficient, healthy HVAC systems in homes that work.

In the '60s, air conditioning systems were just coming into the marketplace, and our company began configuring them to work on the existing heating systems. Energy was cheap, efficiency didn't matter much, and we didn't know any better.

In the '70s, we were in the exploding market of adding air conditioning units to existing homes that had heating-only sys-

tems installed when they were built. These homes were short on supply ductwork, return air ductwork, and insulation. They were leaky homes, but we didn't know any better.

In the '80s, we started designing new homes with air conditioning systems based on the available knowledge and materials. Building products and practices were not of the highest quality. We were installing leaking, undersized duct systems and oversized capacities on leaking homes. We were somewhat smarter than we had been in the '70s, but we didn't know how to install systems all that much better, and, if we did, the market wouldn't pay the price to do it correctly.

In the '90s, we started replacing the systems we had installed in the '70s and '80s. We were touting the new high-efficiency 10-SEER, 80% annual fuel utilization efficiency (AFUE) furnaces as the answer to homeowners' energy and comfort problems. Little did we know that we were actually, in many cases, making their lives and indoor environments worse! By installing these new high-efficiency systems onto poor duct systems in poorly insulated,

leaking homes, we were creating a new set of problems—problems like increased humidity, poor air circulation, and frequent cycling thanks to installing oversized equipment in homes that had recently been refurbished with new windows and additional insulation.

About this time, I became aware of the buzz surrounding whole-house or home performance contracting (HPC), and I began to look at the existing home market with new awareness. As testing tools and technologies became more readily available, the size of the potential market for solving the problems that HVAC contractors had inadvertently created became more apparent.

We at AirRite Air Conditioning Company, Incorporated, were no different from other contractors! We attended manu-

facturers' training seminars, trying to stay up-to-date on load calculations, duct designs, infiltration testing, house sealing, and values and types of insulation. Even with this new knowledge, though, we found that customers still had problems with uneven temperatures, poor air quality, dusty homes, and combustion safety. We kept wondering why. We kept looking to equipment manufacturers for the answer. Manufacturers wanted us to sell boxes to solve the problems, so we sold new boxes and the problems only got worse! There had to be a better solution to this dilemma.

Then, while attending a national HVAC conference and trade show, I was introduced to Retrotec's Infiltrometer, which measures house leakage. Right away we recognized that this product had the potential to help us understand and address the problems we were having, but little did we know that this product would lead us into the new and exciting world that today we call home performance contracting. We purchased our first Infiltrometer in 1991, and our world began to change. Never again would we look at a system or house through the same eyes.

Home performance contracting has since opened our eyes and minds to new sources of revenue for our company. We started to see that sealing recessed can lights, sealing ducts, and sealing thermal bypasses were all possible new revenue streams, as were installing dehumidifiers, heat recovery ventilators, humidifiers, attic ventilation, and attic insulation. Many other possibilities were available if we just opened our eyes. Pursuing these new revenue streams allowed our growth to become more stable, rather than following the normal temperature swings of the South. It increased our revenues per year by 10%–15% and increased our gross margins by 20%–30% compared to traditional box sales. It allowed us to provide increased comfort, health, and safety for our customers while providing stabilized employment for our team members. However, we also found that getting into HPC was not inexpensive. Not only did it take time and money for training and equipment, but it also required a change of philosophy for the company—and most of all, for the lead-

ers of the company. In short, we had to get past our own egos and admit how much we didn't know before we could begin our new journey.

For those contractors who are considering shifting into home performance work, let me warn you that you will be doomed to failure without full commitment from the company leadership, and here's why. Pricing programs and marketing concepts have to change; the typical thought process for box sales does not apply. The labor-materials

our field representatives used to spend to make a sale. And that field representative has to be more knowledgeable to sell HPC work; he or she has to understand HVAC system design, construction practices, and how to communicate with customers. Higher gross margins are required to offset this difference.

At AirRite Air Conditioning, we felt that it was critical to go back to the large customer base we've been building since 1955 to let them know about our newfound knowledge and how it could



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This kind of degradation is typical for vinyl duct systems exposed to ultraviolet (UV) light.

“Getting the customers' attention and trust requires that the in-home salesperson perform a more show-and-tell process and take more time to make a sale.”

ratios no longer work, because field labor costs increase relative to materials costs. Getting the customers' attention and trust requires that the in-home salesperson perform a more show-and-tell process, which takes more time than

benefit them. But, what would they think? Would they think we had been cheating them in the past? Would they think we had been hiding something? How would we get past this issue? We decided to create a “We didn't know”



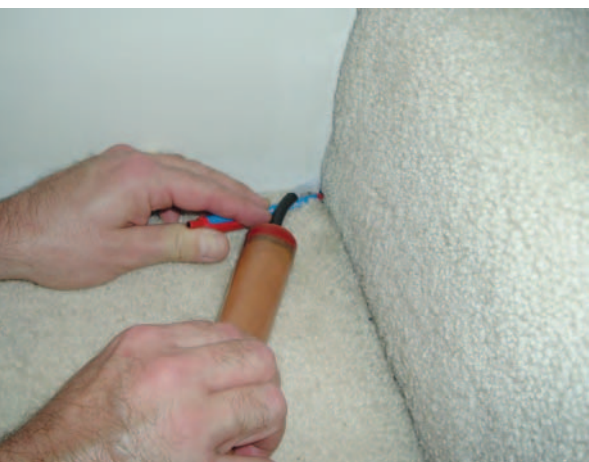
Testing with a smoke pencil demonstrates whether air is leaking around the recessed-can light.

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Stains on the carpet under doors indicate a pressure imbalance.

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Air often leaks through the stairs to the outside of the home.

KEVIN LIPSCOMB

letter. We simply drafted a letter that explained that, based on the knowledge available at that time, we had done the best we could. We told them about the subsequent advances in technologies, testing and diagnostic equipment, HVAC equipment, and air purification products—and, of course, house leakage issues and how they affect the air conditioning system.

We compared our new knowledge to advances in the medical field. We compared it to the computer industry with its constantly changing products. We simply stated at the bottom of the letter, “We didn’t know then... BUT WE DO NOW!!” We felt it was our obligation to let our customers know. This letter not only eased our customers into the notion of whole-house performance contracting, but also eased our field technicians and comfort consultants into the HPC process. One customer stated, “The willingness to print the ‘We didn’t know’ letter made me select AirRite over other contractors. Their honesty and integrity made me feel at ease while making my decision on something I could not put my hands on or kick.”

Once we were past the ego issues, we could focus on training our service technicians in how to inform our customers about our new services. We created a lead generation form to guide technicians through discussing their findings with the customer. The customers have a great deal of faith in the service technician, as often he or she has been in their homes many times. Believing that the technician is not trying to sell them something they don’t need enables the customer to listen to the technician’s findings with an open mind. If the customer is interested, the technician faxes the lead form to the office. Next, our Comfort Consultant coordinator would set up an appointment for the Comfort Consultant to visit with the customer and discuss how our new knowledge could benefit him or her. Once the sale is made, the person sending in the lead generation form would get a spiff, or bonus, for providing this opportunity to the company. This makes the technician want to talk more about what the company is doing and generate additional leads, creating a win-win situation for all.

When the sale is made, the work has just begun. A specialized crew is needed to perform the work. This crew is made up of individuals trained in locating, sealing, stopping, and eliminating the leakage areas that the Comfort Consultant found. Crew members have to understand the HVAC systems and design. They have to understand construction methods and combustion venting issues. They have to understand how to work in existing homes with mastics, foams, duct-cleaning machines, and other large apparatus.

We also have to remember that we deal with whole-house performance issues daily, and we are excited about what we do. For our customers, though, this is often the first time they have ever heard of whole-house performance. They have never purchased this type of work, and neither has anyone they know. For this reason, the crew also needs to be trained in how to explain their work to the customer.

As an HVAC contractor, you are in the best position to add HPC to your company’s future. You already have a giant head start over other industries—such as insulation companies, plumbing and electrical companies, home remodelers, and handyman operations—due to your knowledge of HVAC components, duct system design, construction methods, and insulation and attic ventilation.

With the new mandate for 13-SEER, the HPC market can only grow. HPC will open doors to new opportunities for those willing and brave enough to accept the challenge. If you want to set yourself apart from the competition, if you want to make a positive impact on the health, safety, and comfort of your customers, then start working today toward becoming a whole-house performance contractor.

You have taken the first step by reading this article. Now take the second step by seeking more education.

Your fears are not justified; they are only fears of the unknown and will rapidly turn into the excitement of your future.



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